

Punjab National Bank (PNB)

ROE	8.7%
ROCE	1.63%
CFO Quality	Accrual Risk
Capital Allocation	Growth Funded by Debt

Strengths

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.
- Net profit compounding at above 20% over 5 years creates significant shareholder value.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
- Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

- Debt-to-equity ratio of 3.68 is elevated and warrants monitoring.
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality.